25900303 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM200 - SPECIAL BUSINESS ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **12** questions

Each question carries **1** marks

1. Pass the journal entry for the transfer of interest to Profit and Loss A/C by the hire purchaser. [A] / [CO1]
2. Pass Journal Entry in the book of Consignee: consignee's expenses paid in cash [A] / [CO2]
3. ……policy cover loss of gross profit sustained as a consequence of business interruption. [U] / [CO3]
4. Give the Journal entry for consumption of farm produce (vegetables worth ₹2,000 used at home). [A] / [CO4]
5. The total sum payable by the hire purchaser under a hire-purchase agreement is called _____. [U] / [CO1]
6. How will Consignor record the remittance of the balance proceeds of Consignee by bank draft ₹80,000? [A] / [CO2]
7. Complete the journal entry for the transfer of interest by the Hire Vendor. [A] / [CO1]

   Interest A/C Dr. To …….A/C.

8. Calculate the Net claim if,the value of stock on the date of fire is Rs. 3,00,000 and the stock salvaged is Rs. 30,000. [U] / [CO3]

9. Why is del-credere commission beneficial for consignor? [U] / [CO2]

10. In farm accounting,Cow dung used as manure is treated as-------. [U] / [CO4]

11. When the hirer is unable to make the payment in time, the hire purchaser is said to have committed _____. [U] / [CO1]

12. Give the journal entry when the Insurance claim of ₹7,000 is received for goods destroyed (Abnormal Loss ₹10,000). [U] / [CO2]

13. Calculate the admissable claim from following information: Stock worth Rs. 1,00,000 is insured for Rs. 75,000. If the loss of stock is Rs. 80,000. [U] / [CO3]

14. If cattle are reared for milk, should their purchase be treated as expense or asset? [U] / [CO4]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. What do you mean by goods repossesed? How are they treated in the books of hire vendor? [U] / [CO1]

16. Ravi consigned 300 Washing Machines @ ₹12,000 each to Meera. Ravi paid Packing ₹15,000, Insurance ₹10,000, Freight ₹20,000.Meera paid Octroi ₹9,000, Godown rent ₹12,000, Sales staff salary ₹8,000, Advertising ₹10,000. Meera sold 200 units @ ₹15,000 each. She is entitled to a 10% del credere commission. Bad debts ₹12,000 occurred on credit sales. Prepare Consignment Stock A/c in Ravi's books. [A] / [CO2]

17. A Fire occurred in the premises of Atul on August 25th 2025 when a large part of the stock was destroyed. Salvage value was Rs. 1,50,000. The following information for the year 2025 upto fire are available. [A] / [CO3]

a). Purchases -Rs.8,05,000

b). Sales - Rs. 9,00,000

c). Goods costing Rs. 5,000 were taken away by Atul for his Personal Use

d) Cost Price of stock on 1.1.2025 is Rs. 4,00,000.

Over past few Years Atul has been selling goods at a consistent gross profit margin of 33 1/3 %. The insurance poloicy was for Rs. 5,00,000. It included an Average clause also. Atul asks you to prepare a statement of claim to be made on the insurance company.

18. Explain how the following items are recorded in Farm Accounting: A) Drwaings in kind B)Wages paid in kind C) Depreciation D) Farm produce consumed by live stock E) Land Development Cost. [U] / [CO4]

19. X Co Ltd. purchased lorries from S & Co. on hire-purchase system on 1.4.20X0.They paid Rs. 2,98,500 as down payment and Rs. 3,00,000 annually for three years. The instalments were required to be paid on 31st March every year. The cash price of the lorries purchased was Rs.9,30,000. S& Co. charged interest@20% annum. X Co. Ltd. provided depreciation on lorries@ 20% p.a. on the diminishing balance method. The books of accounts are closed on 31st March every year. Prepare necessary journal entries in the books of X Co Ltd for the year 20X0-20X1. [A] / [CO1]

20. A farmer rearing sheep gives the following details for 2024–25: [A] / [CO4]
Opening stock of sheep: ₹25,000
Purchases: ₹12,000
Fodder: ₹8,000
Medicines: ₹3,000
Wages: ₹7,000
Sale of wool: ₹20,000
Sale of sheep: ₹18,000
Closing stock of sheep: ₹22,000.
Prepare sheep rearing a/c.

[7x4 = 28]

Part C

Essay/ Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. On 1st January 20X1, Mr.X purchased a motorcycle from Royal Enfield on hire purchase system. Cash Price of the motor cycle was Rs 2,50,000, payable Rs. 70000 down and the balance in three annual instalments of Rs. 67,500 on 31st December every year. Interest was charged at 6% per annum on yearly balances and depreciation was charged at 10% per annum on Reducing instalment method. Mr.X could not pay the amount due on 31st December 20X1 and the vendor repossessed the motorcycle .Next year on 2nd February the vendor spent Rs 10,000 for reconditioning and sold it for Rs 1,95,000. Prepare ledger accounts in the books of Vendor. [A] / [CO1]

22. A Ltd consigned 15,000 kg of groundnut oil to B Ltd of Bangalore at ₹ 50 per kg. Expenses incurred by A Ltd are ₹ 17,000 for frieght and ₹ 7000 for insurance. During transit 700 kg of oil were destroyed due to accident and the insurance company accepted the loss to the extent of ₹20,000. B Ltd received the balance of consignment and sold 14,000 kg [A] / [CO2]

at ₹65 per kg. 100 kg of oil was lost due to leakage. Expenses incurred by B Ltd are duties ₹ 8,200 and storage ₹3,500. Calculate the value of abnormal loss and stock on consignment. Prepare journal entries in the book of both parties.

23. On September 30 2024 the premises and stock of a firm totally destroyed by fire, books of account however were saved. In order to make claim on their fire policy, they asks you to advice on the basis of the following information. The stock in hand always valued at 5% below Cost. [A] / [CO3]

	2021-22	2022-23	2023-24	2024-25
Opening Stock	2280000	3040000	3610000	3990000
Purchases	9100000	11000000	12000000	4100000
Sales	14000000	17000000	18600000	7500000
Wages	2840000	3120000	3200000	1200000
Closing Stock	3040000	3610000	3990000	?

Prepare a statement for submission to the insurance company in support of you claim for loss of stock. The company closes its books of account every year on 31st March.

[15x2 = 30]